

03-Jun-2021

Intercontinental Exchange, Inc. (ICE)

Bernstein Strategic Decisions Conference

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Jeffrey Craig Sprecher

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Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

MANAGEMENT DISCUSSION SECTION

[Abrupt Start]

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

....Jeff Sprecher, Founder, Chairman and CEO of ICE. Welcome back, Jeff, and thank you very much for participating in the conference once again.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

Yeah. Thank you, Christian. It's always good to be with you. This is a very, very good conference. So, thank you for having us.

QUESTION AND ANSWER SECTION

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Fantastic. Let's just dive right in, Jeff, and maybe a good place to start here just with the operating environment for the company. You would know looking at the stock which is roughly flat year-to-date, but you're coming off a very strong period for [ph] fundamentals of (00:00:33) the company. I think 2020 was a record. You still grew in 2021 in the first quarter of very tough comps. So, I'm just curious kind of how do you feel about the operating environments, business and what do you think investors are missing about the ICE story here.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

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Yeah. So, thank you for that. You're right. We had an unbelievably good year last year and it's hard to gloat about that because it was obviously the middle of a global pandemic and we're a global footprint. So we had a lot of our employees and a lot of our customers obviously very heavily impacted and yet we did really well. And the first quarter of last year when the pandemic really had velocity, we – there was a lot of volatility in the world and we helped manage risks. So, we did quite well financially. And so, you're right, we had a very tough comp, but yet, last quarter was the best quarter in our company's history. So, the company is doing incredibly well. We're really well positioned and very proud of what we've built here and continue to see really powerful metrics in our businesses.

I don't know exactly why the market doesn't fully see that. I will tell you, there's a bit of a disconnect in the way we think about and have built the business in the way under securities laws and accounting laws we're required to report the business. We're actually in the institutional network business. We build institutional networks. Underpinning those are large databases, some of the most potent and powerful databases in the world that are helping across those networks. And investors seem to understand things like Amazon and Facebook, which are consumer-facing networks and are paid less attention in my mind in institutional networks. But the value of the network is that every new client that comes on make the network more valuable to the people that were already there, and every new piece of information or service that you can provide across the network has a bigger and bigger distribution as a result of that. And so, you've seen our company, which has been a public company for 15 years, has had compounding earnings – earnings per share growth every year across the entire span. And [ph] it's because (00:03:09) the business that we're in essentially is a – is a networking business, not necessarily the market segments that you and I'm sure we'll talk about here, but they're all basically [indiscernible] (00:03:25) same underlying macro trends against them.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

[ph] Good stuff (00:03:29). Maybe diving into one of the business segments and I think one that – it's good to see your network abilities in the Mortgage business. We now own I think LMA for almost a year or at least about a year. And I guess the question here is, over that time period, can you just talk about the progress that's happened so far in the Mortgage business, whether it's market share, whether it sort of enters in newer customers like sort of larger banks, just love to get a progress update on that business.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Sure. Well, Ellie Mae, that acquisition was a big acquisition. It was over \$11 billion. So, it gets a lot of attention. That is a front-end loan origination platform and network. And we combined it with two other businesses that we acquired. One was called MERS, the Mortgage Electronic Registry Service, which is a middleware network; and Simplifile, which is a backend network, if you will, for filing mortgages at local [indiscernible] (00:04:42). And so by putting a front and middle and backend network together, the goal is to have an end to end process for the US residential mortgage industry. And we closed on Ellie Mae in August and it – and bolted it to our network and we made very quick progress on doing that. And you've seen the performance of the entire network business really, really do well even though it's in its infancy in terms of that end to end connectivity. So, we're very, very proud of it.

We now touch about 85% of all US residential mortgages at some point on our network and we've been outperforming, if you will, the broader industry if you look at our metrics. And so we're very, very pleased with the early results. There's a lot of work to do. There's a lot of upside opportunity in our mind ahead of us, but it's amazing how quickly, again, in the middle of a pandemic we were able to both execute a deal and integrate it.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Can we zoom back out into the broader digital or the mortgage landscape? And you have a lot of experience around converting markets of analog to digital and what was going through mortgage [ph] process knows (00:06:09) how incredibly analog [indiscernible] (00:06:14) 40 days to close a mortgage which seems [indiscernible] (00:06:17) main hindrances to getting towards a fully digital mortgage and how ICE help accelerate that process?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Right. So, just – if we just kind of break down – many – many people that are watching us have probably at some point in their life written mortgage and if you just think about it, there's – the process of a customer and a lender finding each other, so a customer acquisition process and CRM process. [indiscernible] (00:06:48) the process then of valuing the home and the underlying collateral and then similarly valuing the consumer and their ability to pay. There's an insurance process that typically goes on. There is then the actual note itself that gets written. There's a closing process that tend to be a [indiscernible] (00:07:11) process. There's [ph] then (00:07:14) various registration processes then to put that to the local recorder and there's then the mortgage moving into the US capital markets to actually – where it's fundamentally [indiscernible] (00:07:28). All of those things have been discrete processes and what we're trying to do is bring together an end to end solution. By the way, that process that I just described is very, very highly regulated. That is consumer finance, very highly regulated.

And so, what we are envisioning is that if you can have one data set on a common network for the entire transaction and overlay – a regulatory overlay so that the [indiscernible] (00:07:58) verified can make its way all the way through the process. You'll do a number of things. One is, you'll take tremendous amount of cost out of the system. We view the total addressable market as being over \$10 billion just in what I described and we're at about \$1.1 billion in revenue just reported.

So we have a lot of upside in the process that I just described, let alone any [indiscernible] (00:08:26). And so, we also think that we can pull back, as you mentioned, the number of days. I think we're actually – it's more like 51, 52 days to close a mortgage right now. We can pull that back which have significant implications for the risk – that interim risk period and we're again in the business of helping people manage risk. So, we think we can provide additional tools in that area as well.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

What do you think about the holdbacks or the issues in terms of getting those days down? Is it a regulatory issue in terms of things like e-closes or closes [indiscernible] (00:09:04) closes? Is it a technology problem which I'd imagine would be right up your alley? Just help me understand what it would take if we were to roll forward five years from now? What would it take to really bring down that sort of – that timeline?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. The process right now – if we just go back and say there is a \$10 billion TAM and we're at \$1.1 billion and we're touching 85% of the mortgages, just in your mind you can say, well, heck there's a lot of runway there for the mortgages that you're already touching and that's because while the upfront process to the consumer may look digital, a consumer may go online or use an app and find a lender, behind the scenes, most of the processes are manual. People are manually ordering [ph] client (00:10:02) reports. They're manually getting credit reports. [indiscernible] (00:10:08) passing from various people. By the time it goes to the closing, it's a physical closing with the file that again has to be checked to make sure everything is there and so there's this inefficiency of passing paper and then checking and rechecking. And because it's so heavily regulated, there's a pretty big error rate in there honestly. And so, in the pricing of mortgages is, is essentially a built-in error rate and the time scale that you just mentioned. The goal is that the actual note and the – that underlies the mortgage will eventually be a complete digital process where the file itself will – as it changes hands between those that have to touch it will be a common file with a common regulatory overlay and then using artificial intelligence and other modern tools to error correct.

And we just see that this is logical. It's going to happen. We think we can drive it. And to give you a sense of where we are, we've just launched a hybrid digital closing solution with a group of data customers. So, much of it's digital, but the actual note itself continuing to be ink-signed paper. Later this year we hope to be rolling out a complete end-to-end digital note solution with vaults – digital vaults and digital notaries and all of the regulatory and legal requirements in 52 states and hundreds of counties all end-to-end. And that we think will be a whole new [ph] workflow (00:12:01) for the industry. But we think the early adopters – we know the early adopters are anxious for this in order to reduce their cost and to collapse the risk that they have in that interim time period.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

As you mentioned, it seems like mortgage – at least the mortgage vendor landscape is very fragmented [indiscernible] (00:12:21) for different people [indiscernible] (00:12:22). I mean, you know very well the value of vertical integration. You did that [indiscernible] (00:12:29) that. How do you think about that sort of parallel with mortgage, the opportunities to, I don't know, buy valuation companies, fraud vendors et cetera integrate that deeply into the Ellie system and make that much more seamless process? How does – how do you think that works within mortgage than an M&A type execution or is that sort of something you can do organically?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Right. The acquisitions that we've done, if you look at it and what I described is, we wanted to build the underpinning network go end-to-end. And today on that network are thousands of third-party vendors that are providing our services on the network. So, the business model that we have is we provide some of the services ourselves. But just given the numbers that I mentioned, the vast majority of people that are on that network are

third-parties who pay us for access to the network and in some cases on a license or pay [ph] us for (00:13:35) transaction fee for transaction that they use across our network or some combination of both.

And so, as a result of that, we have a relationship with thousands of people in the industry. And what we – the mindset that we've had is what are the things that we should acquire that help build out the network to get to the vision that I just described faster. We don't have to – we're partners with thousands of people, so we don't actually have to own them. We actually want to ensure their success. And the way we'll ensure their success is to make that network really robust and viable and open. This is an open network, an open platform. So think of it as something like an Amazon where the [indiscernible] (00:14:22) the buyers and the sellers that are on that network are third parties, but we're providing the underpinning.

We do look at whether there are things we could bolt on that would continue to extend and grow that network. I know just since we've acquired Ellie Mae, we've looked at 25 or so – 24, 25 different opportunities. So people are bringing us opportunities. The people in the industry see what we're doing. None of those have – would have moved the needle for us or helped advance what we're building. So we do look – we are active in the space, but the vision is really – is really let's get the foundation in there because everyone in the industry will benefit.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC



What about the competitive landscape? I think your biggest competitor is probably still Excel spreadsheets and in-house systems. But there are a few sort of like vendors out there, like a [ph] Blend (00:15:20) or Black Knight that are competitors. And even like a Quicken Loans has its own system. So how do you think about sort of the competitive landscape for mortgage software?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.



Yeah. There's nobody that really has been building what we're doing which is a network – an open platform network where the entire industry can collaborate. And by the way, we do that in the cloud and with a regulatory and artificial intelligence [indiscernible] (00:15:47) overlay. That's really unique. So, I don't know that we have a single competitor. There are various people that are trying to optimize parts of that loan process that I just mentioned to you. And in many cases, they are doing that with us on our network, but to take – you mentioned [ph] Blend (00:16:13) and there's another company [indiscernible] (00:16:13) which is working on the front-end app, if you will, customer-facing app, those are highly valued companies. They're fast growing. To give you a sense, we have 10 times the number of customers that they have that we have put on our front-end app since they have launched. So if you like those companies and you should – you should love what we're doing.

Similarly, many of the firms you mentioned we have partnerships within the sense that we want them – they have their own bespoke front-end, their own loan origination, their own CRM, their own customer acquisition come join us further down the path, use our closing solution or use our filing solutions. And the goal for us is if we're touching 85% of the mortgages at least one time, we'd like to provide other services on that network to touch it 2 times, 3 times, 4 times. So, market share to us is not really the metric we're looking at. We actually are really trying to look at revenue growth and the way we can partner with all of these thousands of vendors on our platform to help them increase their velocity and touch that as many times as we can as the foundational provider.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC



Great. So, I think [indiscernible] (00:17:46) a very interesting long-term vision for the Mortgage business. But we do get a lot of questions around the near term and to the extent we continue to see a slowdown in refi [indiscernible] (00:17:54) rates or even now it seems like purchase is under pressure just given the lack of supply, et cetera, how does that change in the near term sort of growth dynamics of the business?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Well, certainly, we want there to be a robust ecosystem around the mortgage space. So we do look at industry forecasts. I'll note that industry forecasts today are very robust. So a lot of the cautionary comments that you've made are somewhat forward-looking. There's perception that when a business has been fantastic, it can continue at that rate. But we – if you look at industry data, you'll see – I don't want to give you our data, but if you look at industry data, you'll see that the industry itself is doing incredibly well and some of those near-term fears have not materialized.

But beyond that, we want to [indiscernible] (00:18:59) there's an analog to digital conversion that's going on that we believe provides a tailwind to the business that in a tougher market environment, people are going to pay more attention to costs, they're going to pay more attention to risk and that those are – those are times when we hope we can touch that mortgage more times. And in that sense, we're somewhat looking at a different metric internally, not just the overall number of loans that have been closed, but how can we participate in collapsing the cost and time of doing a mortgage and we'll get paid for that.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

And maybe lastly on the Mortgage business, I think today it's still somewhat transactional and still somewhat [indiscernible] (00:19:55). Can you just talk about any [ph] trends (00:20:00) over a multi-year horizon to make that business much more recurring revenues?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Sure. [indiscernible] (00:20:06) when we started ICE, we were – which is now two decades ago, we were basically 100% transactional and we took the company public in 2005. And as a new public company CEO, I could see the volatility in our stock that was – because people were looking at daily transactions and trading the stock around transactions. And I looked at peers in financial services and multiples that – they had that were low because they always had a volatility risk built into them and we made a concerted effort in the company years ago to try to have more recurring revenues.

And broadly speaking, we're – the company broadly is sort of 50/50 subscription, recurring – growing subscription, recurring revenues, very sticky customer base and 50% transactional revenues. And that balance has worked for us in managing the business. And if you look at mortgage, we're kind of in that same realm and so it's been comfortable. What I like as a manager about the recurring revenue is they're predictable, they're forecastable and in terms of working with the board on our dividend policy and our capital return policy, we have something we can really predict and lean on. But you don't want to necessarily give up upside in risk management and we're – these networks are used for risk management purposes and so – and I will mention that we grew this earnings all through the financial recession, recent financial recession all through various Middle East wars, all through changes of leadership around the world. And so, that volatility component is something we'd like to capture. So, we kind of like the 50-50 mix.

I'll [ph] lead you a (00:22:07) little bit to tell you that if you think about the mortgage vision that I gave you, most likely we're going to go to the lending community and say, we can close these mortgages completely digitally, why don't you – you're going to have to change your workflow, why don't you try one, and just pay us X dollars. And so, these new services lend themselves initially to being transactional because it helps people adopt them. If they become routine, they then start to lend themselves to being subscription based. And so, what you've seen in our business – all across our business for 15 years is the shift where we – sort of new business transactional, legacy business get to be more subscription and recurring, has become sticky, has become part of the workflow and that's been a nice metric in terms of a manager for us. And I hope, by the way, nice for you in terms of covering us and for investors in seeing year-over-year earnings per share growth.

Christian Bolu*Analyst, Sanford C. Bernstein & Co. LLC*

Absolutely. A multiple expansion.....

Q

Jeffrey Craig Sprecher*Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.*

Right.

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Christian Bolu*Analyst, Sanford C. Bernstein & Co. LLC*

Maybe [ph] just switching about (00:23:22) to the energy business here. As you mentioned, you found the company 20 years ago and [ph] it is modest in oil, so fit and firm (00:23:31). But, maybe underappreciated is you actually have a pretty substantial carbon and emissions business. So just want to talk about sort of the scale of your sustainability business broadly, what it's trading or data, sort of how big is it and more importantly where do you see the biggest opportunities going forward.

Q

Jeffrey Craig Sprecher*Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.*

Yeah. Yeah, interesting. I know you know a little of my background, but just – I'm not going to make this about me. But I started ICE – when I was in graduate school, I started a company with a guy I met in school that was a renewable energy company. And I started ICE, it was called the Continental Power Exchange to build a renewable energy exchange in 1997. And over time – the name didn't fit the company. We weren't just continental and we weren't just power. And so we became Intercontinental Exchange. But the core of the company was a renewable energy platform. And I think that DNA has been all through the company in our growth. And we have – we are the dominant exchange for emissions and carbon and offset – and renewable trading around the world. I mean, we probably have a 90-plus percent market share.

A

And given where we started, you can kind of get your head around why that is the case. We bought – we were early in this space and we bought the Chicago Climate Exchange more than a decade ago. We run essentially the European carbon market, the new UK carbon market's just launched in the last two weeks, the regional markets around the US for various SOx and NOx and offsets, various voluntary markets. And so, it's been a big and growing part of the company honestly for 20 years, but in a world where we live today, when there's much more focus on ESG issues, it's starting to get more attention. And by the way, it's been a consistently good grower for us over that period of time.

Christian Bolu*Analyst, Sanford C. Bernstein & Co. LLC*

Q

Just curious, when you speak to ESG investors, I guess what's their view of ICE's role in broad energy markets, whether it's traditional carbon market or climate markets and how does that impact their view of ICE's ESG ratings, whatever that actually means?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. I think, first of all, this whole ESG space and in terms of the way investor perception around ESG space is evolving is complex. We don't have yet good metrics or good indices that we can benchmark against. And so saying that, we probably get zero credit from investors in terms of actually building and running the environmental markets for the world. We use those markets, we offset our – part of our carbon and increasingly as we're auditing ourselves and doing our own internal work, we like using markets as a way of solving some of these products. It's consistent with our vision of clear, transparent, regulated markets and everything, pricing carbon and other emissions is a way that managers can get their head around how they can go about improving the world.

And so I don't think we're getting a lot of credit there. I do think over time people will come to recognize what we're doing. Certainly, government officials recognize it because they continue to turn to us for solutions. If you think about what we're doing in Europe, I recently had a meeting with the minister in charge of finance in the EU and part of the COVID recovery plan for Europe is a green financing plan. This is a major top-down initiative through various governments in Europe. I think it's going to be contagious and already somewhat is around the world. And we help people to do that green financing by giving them the hedging tools for major green projects, carbon and renewables and other offsets. And so we're a part of that conversation and it's been really good and rewarding business for us given how many years we've been at it.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Switching to nat gas business, that had a real resurgence last year, just nat gas broadly. So, can you just speak to the long-term opportunities in nat gas, where are we in this sort of global harmonization of nat gas prices and kind of how do you think about that business longer term?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. I think, Christian, when I first met you, I think that was years ago, right, when you first were looking at the company and I think we started to talking about the fact that we thought the natural gas business would globalize. It is, it has been. We run a global natural gas trading and risk management platform. We, years ago, went and built an exchange in Amsterdam and acquired some businesses there and launched a natural gas contract called TTF, which has become the European natural gas marker and it is increasingly becoming global gas marker.

We also have a contract that we traded in Asia, JKM, and what's happening is the globalization of natural gas through the provision of liquefied natural gas that can be shipped around the world. And it's a solution for many economies as they're trying to get off of legacy carbon footprint and moving as a part of this solution to a natural gas environment as they move continuous to renewables and solar and other things. Natural gas is a part of that shift in that mix and it's globalizing and we are the global platform for gas. And we particularly see that happening outside the US in some of those markets.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Good. Sticking with the non-US theme here, you recently launched [indiscernible] (00:30:23) to be a benchmark in Middle East Asia. [indiscernible] (00:30:30) a few times and it's been tougher to crack. How do you – why do you think this attempt will work? How does it play into sort of the bigger geopolitical dynamics around, I think China is trying to create its own benchmarks for oil as with the US still has dominant benchmarks. Maybe put all that together and I love to get your views.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yes. So we recently launched a new exchange in Abu Dhabi along with Abu Dhabi National Oil Company and a group of industry players to create a new benchmark Murban crude, which is Middle East crude. And so while we're – on the one hand, we're talking about ESG, carbon and a movement to natural gas, if you look at emerging economies, particularly Asia and China and including a couple of other non-China Asia companies – countries, they are going through tremendous growth and they are still highly dependent on crude oil and refined petroleum products.

So there's kind of a barbell effect going on in the world right now. Western companies moving on one end of the spectrum and emerging economies on a different end of the spectrum. And so, we have an end-to-end platform that allows all that kind of risk management. And I think it's been great to partner with the ADNOC folks and Abu Dhabi government. I think it will have many more opportunities for us in the sense that they understand the trends that are going on, they have their own ESG plans for their economy, they recognize that the Middle East was largely an oil-based economy and it's going to transform itself along with a lot of societal transformation. There are energy transformations going on. They're serious. And I think our partnership there will bode well for us over the long-term with that infrastructure.

And lastly, I would just say to you that figuring out how an Asian footprint for a Western company and navigating what's moral and ethical and where do you want to position yourself, it's been better for us to partner with people around in the Middle East and in other areas of Europe and what have you, it's been a safer, more reasonable investment philosophy for us and still I think puts us in the right moral, legal and ethical place with respect to growth.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Great. [indiscernible] (00:33:35) questions coming up for you on the – from the audience, so let me take a couple of those before I jump back to my questions.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Sure.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

One of them is can you discuss the growth drivers with the fixed income, data, analytics business and what new opportunities do you see to grow longer-term?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. So we've been trying, again, to build a fixed income network, so think of us as what are we putting together and we want players that are in the fixed income business to be members of this network to be using various services across the network and through the foundation, if you will, of that network is data acquisition and distribution to people that are making fixed income decisions. And that's largely been a subscription-based business and we've been able to grow the dataset and create alternative datasets as the network has grown.

We've built that business to try to participate in the trend of the changes that are going on in fixed income business. One, I think many of your followers know that there's an analog in digital conversion going on in the execution of fixed income. But more broadly, there's a change in the way investor appetite is looking at fixed income through alternative investments, like exchange traded funds. Bonds are hard to own, they're hard to index and so data is key for those investors.

If you think of an index for equities which we're all used to, companies get acquired and new companies form up and the index can be rebalanced on kind of in an orderly way. And generally speaking, the market understands what the next names coming in and out of an index will be. Much more difficult in bonds where bonds are redeemed [indiscernible] (00:35:37) or they have tenure on them. And a five-year bond may come and go and so it has to be replaced with something like-for-like in the index. So we have amazing historical index or database of indices data that we use. And so a very good business is participating in that analog to digital conversion and we continue to put things on to that network that make the network more valuable and then continue to grow the network with more respondents on it. So, another one of these analog to digital institutional network plays that we're doing well at.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Great. I have quite a few questions on blockchain and crypto. One of them is, what is your view of the impact to blockchain technology on different parts of the exchange business over the next few years?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Well, we got into that business because we wanted to learn about the blockchain. And so, we were relatively early. We invested in Coinbase. They wanted to use our name as part of their capital raise as the validation and we wanted help in understanding blockchain and digital assets more broadly. And so, there was very good early partnership there. They don't need our name anymore. We understand the blockchain, so we've actually sold out of that investment. But the underpinnings were acknowledged and partnership transfer essentially.

The blockchain is a distributed database. I will just tell you that we run one of the most sophisticated distributed databases in the world that underpins the US equity markets. We do hundreds of billions of transactions a day that have to be widely distributed across Wall Street banks, brokers and investors and can have no downtime with latency that defies any network built anywhere in the world for any purpose. People that are [indiscernible] (00:37:57) off the ionosphere and so we really are database experts.

When we look at the blockchain, you can see its version 1.0 databases, rudimentary compared to what we're doing. It's interesting. It had a lot of application because of its [indiscernible] (00:38:19) to distribute. It doesn't solve a lot of the major problems that we have, but there are – if you look at globally the interest in it and the investment going in various blockchains and new tokenization of things, it's interesting. So we want to be a part of that and at the forefront of it. Right now, it's somewhat consumer oriented, which is why we created the company Bakkt and gave it its own brand and ultimately its own capital structure because it's a network business, but not

institutional. So, probably going to have different metrics for people like you to cover it and consider it in terms of the investment thesis.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Curious what you make of the progress of Bakkt so far. I mean, you guys started this, like, quite a while ago and you've got a vision around crypto [indiscernible] (00:39:21) tenth of the price than what it was today. If we think about progress over that time, how the crypto market has actually grown quite a bit, what do you make of Bakkt's progress so far? Anything you think is holding back a little bit and how do you think that can accelerate going forward?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. So it's doing well and we're – I can't talk too much about it because we're about to spin it into a public company and so that its filings are out there. So, I don't want to discuss the performance of the business. But the philosophy was that we were in the institutional network business and there was a lot of institutional interest in blockchain, Bitcoin and tokenization more broadly, and can we bring that group of institutions together. If you really look at the high profile trends and investments that are going on around digital assets, crypto, what have you, they've been very consumer oriented. They haven't really yet engaged the institutions. Some of that is regulatory, government, influence on finance and regulated finance businesses. But there's an interest in it.

And so Bakkt is really positioned. We have a relationship with Starbucks and Microsoft, we're early partners in that company with us. You can now use the Bakkt app to – in conjunction with the Starbucks app, which is one of the most well-used, well-liked consumer apps for dealing with an institution of Starbucks. And so, there's connectivity there now and there are a number of other partners that have been announced and yet to be announced, there are the opportunity set for Bakkt going forward in hooking consumers and institutions together, which is a business that we – much like the mortgage business where we're increasingly hooking institutions and consumers together. These institutional networks are being – networks more broadly are being pulled into the consumer marketplace. So we're on one end going one direction and you've kind of seen the blockchain on the consumer end trying to go the other direction [indiscernible] (00:41:44).

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

A couple of questions on mortgage. One is the network effects, how do you benefit from the network? What are the – where are we in integration of the businesses and how would that influence growth? I'll [indiscernible] (00:42:06) and the question is what are the biggest challenges you faced in developing your mortgage business?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. Those are very linked in the sense that the opportunity is to have an end-to-end network with one set of documents and data sets that is that ticks all boxes from a regulatory standpoint and which that alone will massively streamline the workflow and massively reduce the error rate that exists today in mortgage. And so the network effect is having all of the people that participate in mortgage, people that write flood insurance, people that do home appraisals, increasingly with digital closing, we're talking about law firms, notaries, clerks that are involved right now in the paper-based mortgage business. That network if we're successful in expanding this really scale becomes very large, very quickly. It moves well outside of the lender footprint across broad – broadly across the mortgage and institutional space quickly we think.

And the opportunity set there, if you really want to look out 5 years or 10 years, are what other – now that you have that massive network of consumers, lenders, title companies, lawyers, notaries, counties and capital markets all on one network. What are the other opportunities? And one of the things we're finding just to show you a little leg is a lot of people coming to us saying, are you aware that my business benefits from a new homeowner. I'm a landscape company. I'm a lawn mowing company. I have a big box store and some trash cans and draperies. They're – the event of buying a home stimulates a lot of consumer behavior and we are at the center of that. We have the best dataset, knowledge base, bar none of what's going on if we have that end-to-end transaction.

Similarly, if you are a lender, you'd like to have a customer for life. You'd like to have [indiscernible] (00:44:45) do business with that lender and come back to them if we're going to refinance or if we're going to do a home addition or if we're going to buy an automobile or whatever our consumer needs are, you'd like to have a consumer for life. One way of doing that is if you can have better information and connectivity to that customer so that you can anticipate when they might refinance or when they got a new job and then maybe new moving to a new city. That data is available in the world today. And so part of the long-term network impact is having the organized way that can then have a better consumer experience that meets all regulatory requirements, and those are areas that we understand and are excited about building out.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Q

Great. We're out of time here, so let me ask one more for myself here. As you mentioned, Jeff, we've both come over 20 years, built an incredible company, seen a lot of success. But [indiscernible] (00:45:54). Chuck Vice and even Scott Hill just left now, and so Kelly is doing all the things, so the question is what about Jeff, right? How do you think about your role in the company, what do you think makes [indiscernible] (00:46:12) can this company survive without obviously what is an outsized personality, and obviously a visionary leader, maybe just talk about those sort of points?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Well, first of all, thank you. There's a big compliment buried in there and I appreciate that. I'm not sure it's fully deserved in the sense that the people that have left here have basically retired. We have an incredibly loyal, compatible management team and Scott Hill left after 14 years as a CFO and Chuck Vice left after 22 years as a COO. And so – and Kelly was called to public service. So people don't leave here to go to other companies and that is part of the culture that we're creating. And what I hope you're seeing is that as the company has grown, we have a group of managers that are running businesses today that we're increasingly trying to expose to you and the market. My colleague Ben Jackson, who is our President, is doing some of the one-on-one today. We want to give people access to these very talented people. And that's intentional on our part because it's not a one person company.

My job today is helping to curate and keep organized a group of really highly talented people. And we run the business together as a group. We're not silo. We're very flat. We're very communicative. Just give you a sense, last week, I went to a baseball game with our former CFO, Scott Hill, our former Chief Technology Officer, Edwin Marcial, our former Chief Operating Officer, Chuck Vice. Yesterday, Kelly Loeffler went to lunch with Scott Hill and Jonathan Short, our former General Counsel. We're all still there – and they're all here helping and contributing and there's a tremendous amount of loyalty to the company.

So that's a culture that we've tried to ingrain and that I specifically wanted here so that the company can have a long-term, whether I'm here or not. But I would just tell you today that I'm fortunate that I'm just helping to keep organized and curated a group of really talented people that many of you are coming to get to know and deserve much of the credit.

I started – I probably had the idea for mortgage maybe 2005. So was that 15 years ago, we started working on mortgage. Today, I can talk about it. I'm a mile wide and an inch deep because other people are really affecting the vision that we came with years ago. So anyway, I feel great about the company. And this, it just – as you said in your introduction by the way, Christian, had the best year in our history and the best quarter in our history, last quarter and it's a incredibly talented team here that's doing that and the legacy people that have retired that are hanging around helping out are so proud of this group, right. I couldn't be more high on the people that are here doing this businesses.

Christian Bolu

Analyst, Sanford C. Bernstein & Co. LLC

Great. I think we've literally run out of time here. So as always, Jeff, really appreciate the time. Thank you everyone for joining as well. Thank you.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

Thanks.

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